Daily Packet: 2026-05-15 to 2026-05-17

Trading_and_investment_papers plus Daily Shot when available.

WINDOW PDFS	CHART EXTRACTS	TOP CHARTS
17	**50**	**5**

DAILY SHOT
skipped

> **Bottom line:** This packet is the one-stop morning read: curated chart evidence first, Daily Shot context second, and source links at the end.

Top Charts

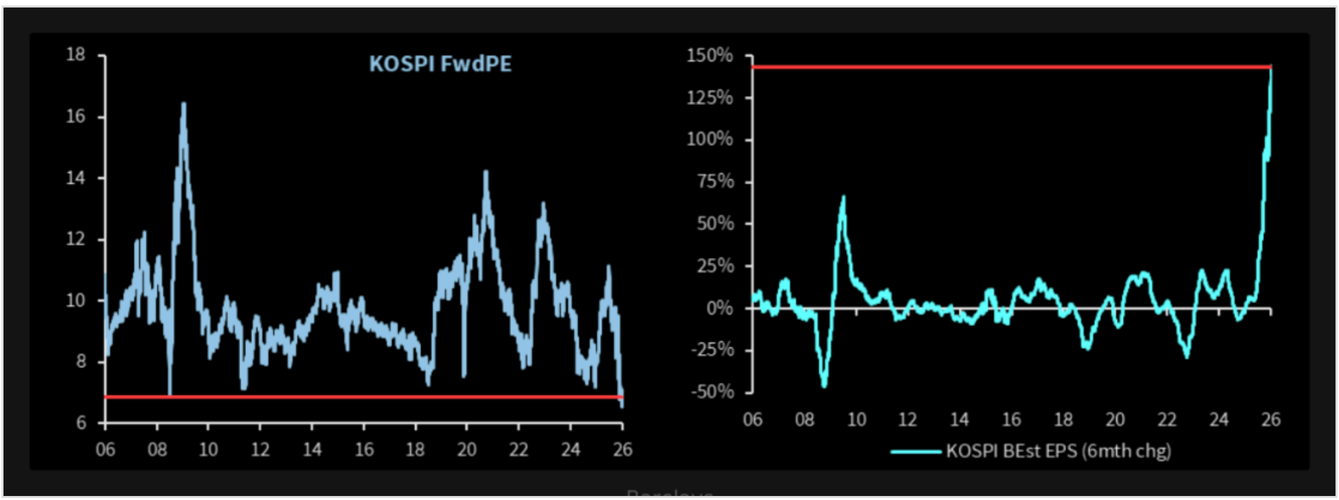
1. Korea's melt-up is earnings-backed, but increasingly stretched

2026-05-15 | the first real crack in the ai melt up 1 | page 3 source PDF

What it says: the first real crack in the ai melt up 1: LSEG Workspace Fundamentals KOSPI trading at 20-year lows in P/E multiples as consensus EPS estimates have been revised roughly 150% higher over the past six months. Things always look great following huge runs... Barclays Korea downside As we outlined earl...

Worldview update: The strongest tape is not pure speculation. Korea still has earnings revision support and compressed valuation, but the speed of the move means upside is becoming more fragile.

Portfolio/use: Respect the earnings support, but avoid treating a fast vertical move as low-risk beta. Watch revisions and reversal candles.



2. Options are shaping the path of the underlying

2026-05-16 | BofA Systematic Flows Monitor Systematic flows stabilize as equity | page 23 source PDF

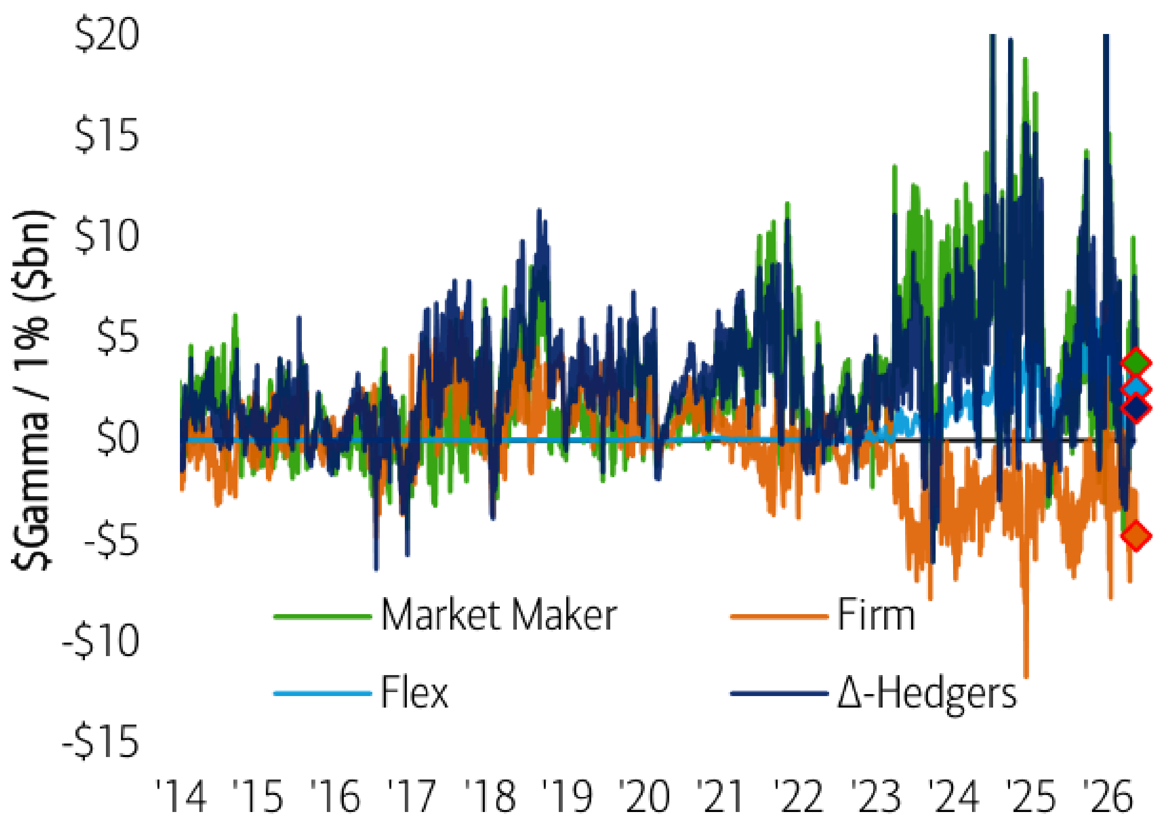
What it says: BofA Systematic Flows Monitor Systematic flows stabilize as equity: Systematic Flows Monitor | 15 May 2026 23 Exhibit 81: Historical SPX gamma for Firms, MMs, Flex and Δ-Hedgers Our estimates for Δ-Hedger (= firm + mm + flex) gamma assume that firms delta-hedge only regular options while market makers hedge regular & flex S...

Worldview update: The rally has become more flow-mechanical. Fundamentals still matter, but call demand, vol compression, and dealer positioning are first-order timing variables.

Portfolio/use: Favor defined-risk upside and start adding downside while hedges are ignored.

Exhibit 81: Historical SPX gamma for Firms, MMs, Flex and Δ-Hedgers

Our estimates for Δ-Hedger (= firm + mm + flex) gamma assume that firms delta-hedge only regular options while market makers hedge regular & flex



Source: BofA Global Research, CBOE. Data as of 14-May-26

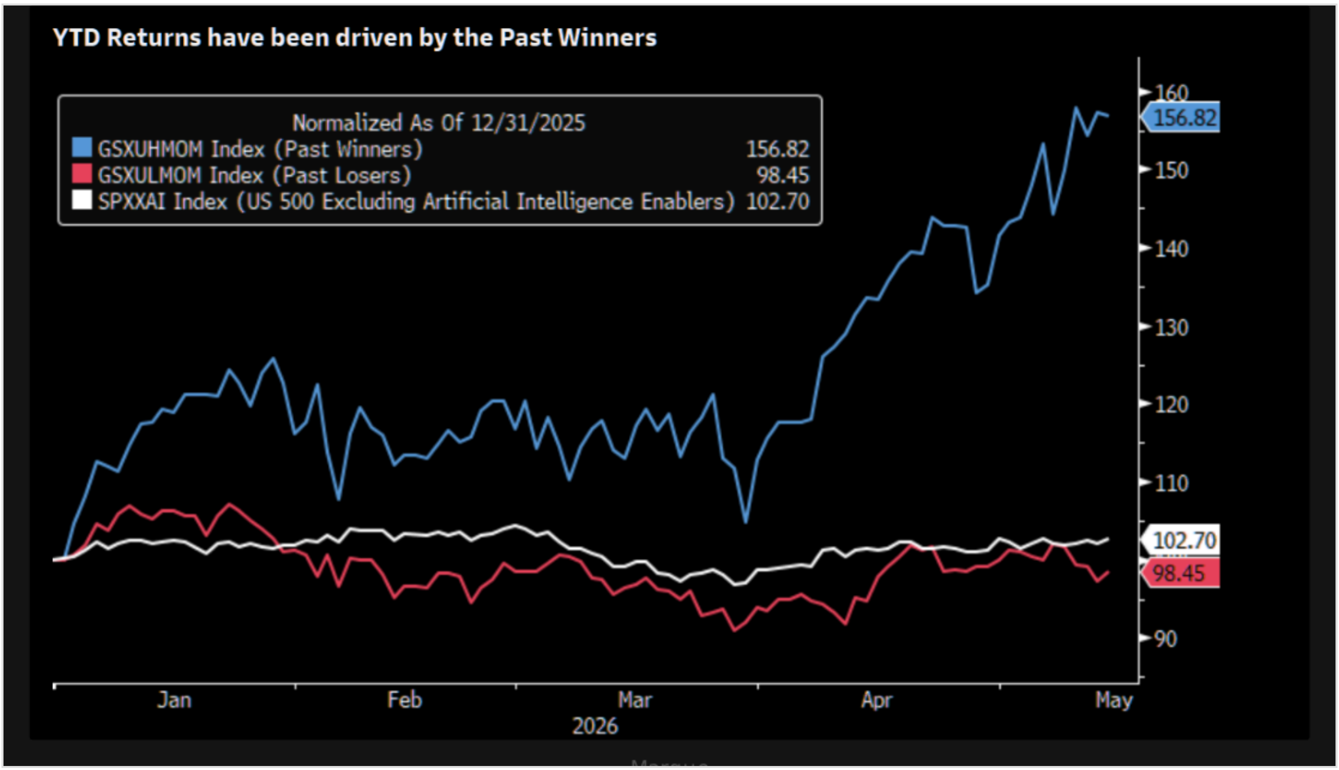
3. Breadth is narrowing beneath the index

2026-05-15 | the momentum trade is one ceasefire away from total carnage 1 | page 2 source PDF

What it says: the momentum trade is one ceasefire away from total carnage 1: Marque High realized vol Realized volatility of momentum is at a multi-year high. As we all know, we are at one of the narrowest levels in terms of market breadth since the Dot-Com Bubble and briefly in 2023. Historically, the momentum factor has realized a...

Worldview update: SPX strength is increasingly an index-concentration signal. The macro read from headline index levels is polluted by a few large leaders.

Portfolio/use: Separate SPX direction from equal-weight health; prefer relative-value hedges over blunt index shorts.



4. Earnings are still carrying more weight than bears want

2026-05-15 | ford is apparently an ai company now 1 | page 3 source PDF

What it says: ford is apparently an ai company now 1: @cyclewatcher 0 FCF is now ok BofA now sees cloud/hyperscale aggregate FCF margin to reach ~0% by 2026-27 and they love it because, you know, it is the future.... "We see the AI capex cycle as sustainable as hyperscaler spending is increasingly supported by...

Worldview update: The bearish macro case needs earnings to crack. Until that happens, selloffs can remain buyable even if the rally quality deteriorates.

Portfolio/use: Track breadth of EPS revisions, not just index EPS. Narrow earnings strength is less durable.


"Hindenburg" Signals (>1.6)
2% from ATH
Dec-17
Dec-18
Dec-19
Dec-20
Dec-21
Dec-22
Dec-23
Dec-24
Dec-25
SPX
Signal

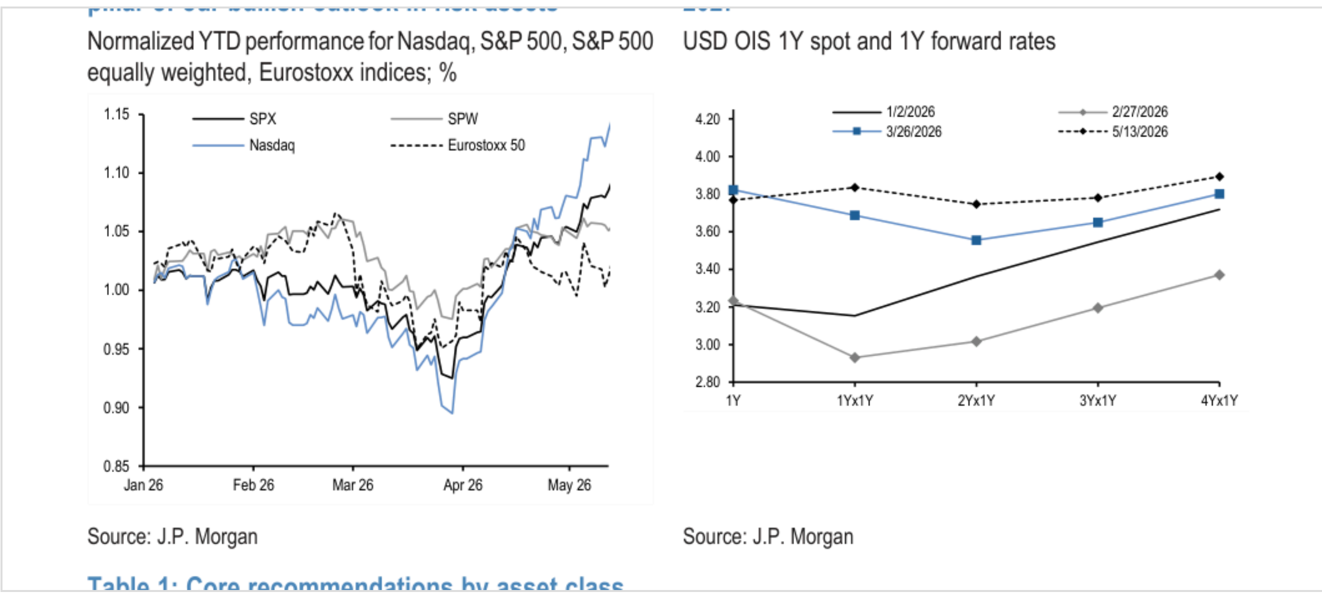
5. Oil stress is feeding rates, while equities are looking through it

2026-05-17 | JPM The J P Morgan View Higher for Longer in Oil and Rates Own AI | page 3 source PDF

What it says: JPM The J P Morgan View Higher for Longer in Oil and Rates Own AI: Figure 1: Stick to our momentum view of "buying the winners" with AI upstream theme being the key pillar of our bullish outlook in risk assets Normalized YTD performance for Nasdaq, S&P 500, S&P 500 equally weighted, Eurostoxx indices; % 0.85 0.90 0.95 1.00...

Worldview update: The cleaner market signal is the cross-asset divergence: oil stress has mattered for rates, but equities are already looking through it. That calm is fragile if energy pressure starts feeding inflation or growth expectations again.

Portfolio/use: Track Brent, rates, and equity correlation together; use oil/rates stress as the warning light rather than treating headlines in isolation.



Daily Shot

Daily Shot skipped: Daily Shot credentials are not configured.

Additional Chart Selection

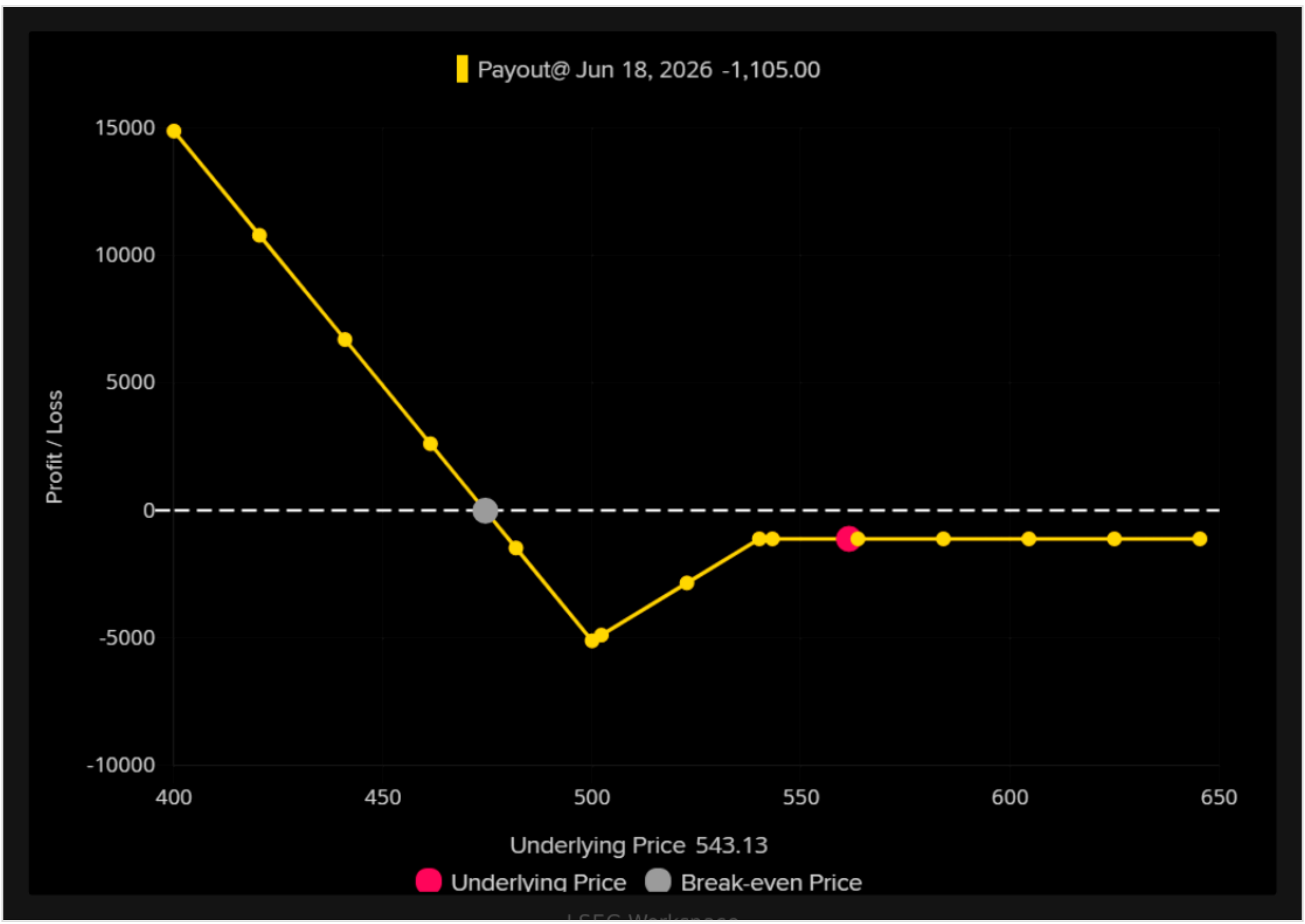
6. AI is becoming a capex, power, and politics story

2026-05-16 | One Of Tech s Biggest Rotations Is Brewing | page 2   source PDF

What it says: One Of Tech s Biggest Rotations Is Brewing: LSEG Workspace LSEG Workspace IGV IGV has bounced aggressively since hitting major range lows some weeks ago. Software has consolidated over the past week, but continues inching higher. A close above $92 could re-ignite the squeeze. Note we are already back...

Worldview update: The AI trade is no longer only about demand and model progress. The constraint is shifting toward cash-flow intensity, grid capacity, permitting, and public tolerance.

Portfolio/use: Map AI exposure through power, grid, utilities, gas, and capex beneficiaries; be careful where capex consumes free cash flow.



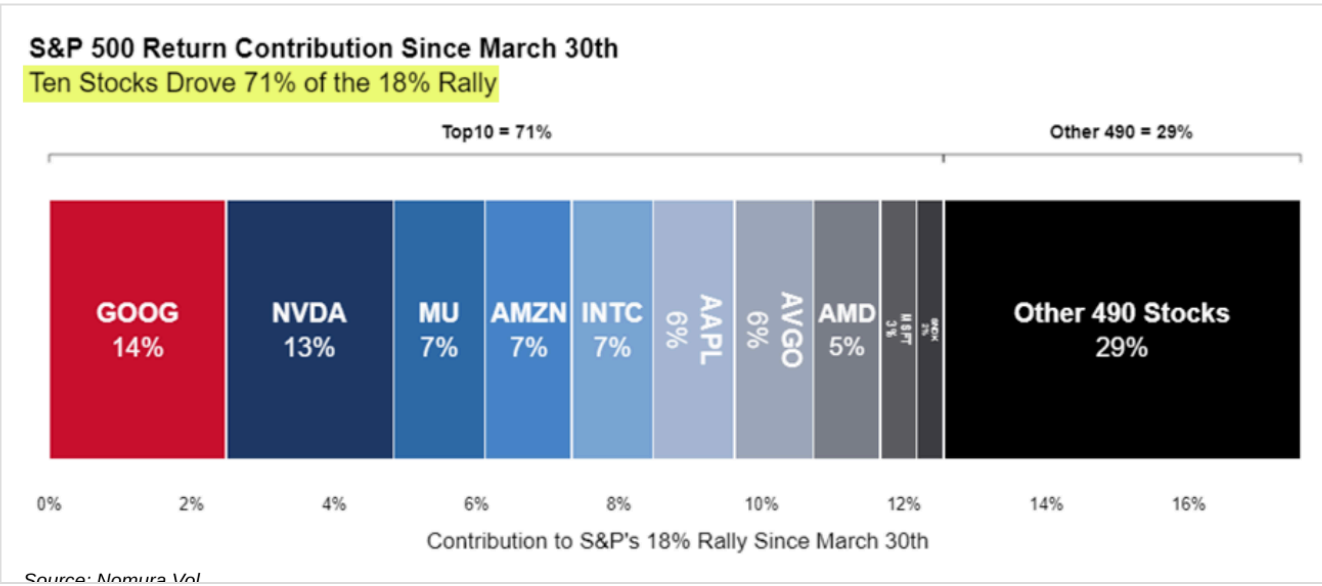
7. The inventory cycle may be turning earlier than expected

2026-05-15 | Nomura Cross Asset BUYERS ARE HIGHER BUT THE BIGGER THEY COME THE | page 1 source PDF

What it says: Nomura Cross Asset BUYERS ARE HIGHER BUT THE BIGGER THEY COME THE: Some eyes on Rates again, as Macro can return to a role as primary catalyst after the “Micro Calm” of +++ Equities Earnings…where after the UST long-end supply yday and growing “Hawkish Concern” globally via the still-not-solved Energy / Petrochem supply sh…

Worldview update: A restocking impulse would keep nominal growth firmer than survey pessimism implies. That complicates simple slowdown trades.

Portfolio/use: Do not over-index on soft data if imports, orders, and inventory data confirm a turn.



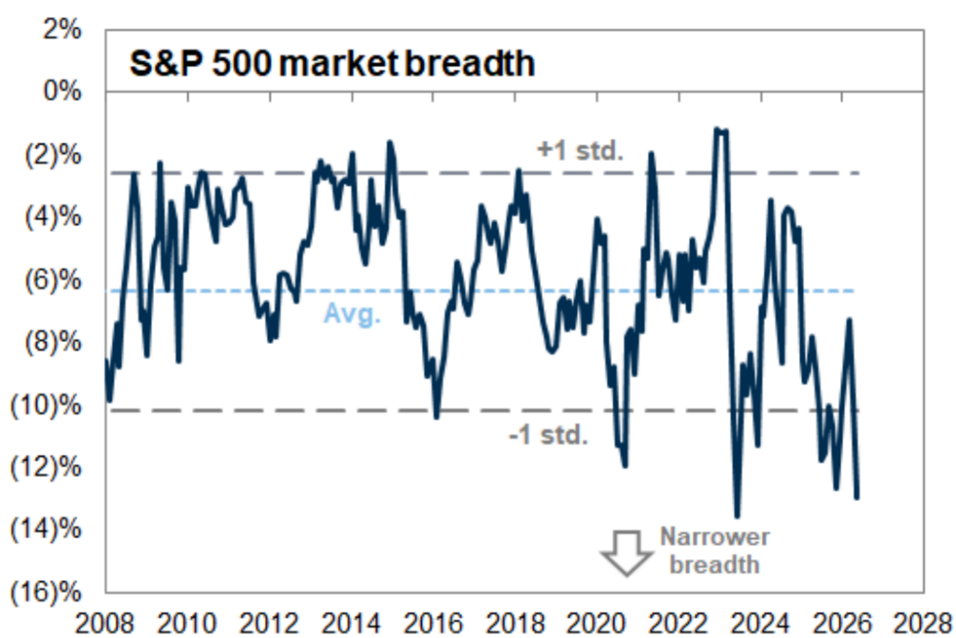
8. Retail attention is a crowding signal again

2026-05-15 | GETTING STOPPED IN | page 2 source PDF

What it says: GETTING STOPPED IN: Retail trading activity has also clearly inflected higher. Our trading desk estimates show that retail trading volumes have risen by 28% since mid-April and a basket of retail favorite stocks (GSXURFAV) has rallied by 29% over the same period. The recent...

Worldview update: Retail flow is no longer just background noise. It is reinforcing single-name momentum and can stretch valuations past fundamentals.

Portfolio/use: Treat retail favorites as path-dependent momentum trades; use options or tight risk rather than valuation-only shorts.



Market breadth calculated as the difference between the distance of the aggregate S&P 500 Index from its 52-week high and the distance of the median S&P 500 constituent from its 52-week high. When the aggregate index is much closer to its 52-week high than is the median stock, market breadth is narrow.

Source: Goldman Sachs Global Investment Research

Sources

Chart report PDF